

FREE WHITE PAPER

Ten Places Small Shops Lose Money

And a simple fix for each one, with the math to see what it's costing you.

For independent auto repair shops with ten technicians or fewer.

XSite Auto xsiteauto.com

BEFORE YOU START

Busy isn't the same as profitable.

Most small shops don't have a work problem. The bays are full and everyone is busy. The money leaks out around the work: the call that went to voicemail, the half hour nobody wrote down, the balance that was going to be paid Friday. None of these show up as a line on your profit and loss statement. They show up as a busy month that somehow didn't pay much.

This white paper looks at the ten leaks we see most often in independent shops. For each one you'll find what it looks like, why it happens, a worked example of what it can cost, a step-by-step fix, and one number to track so you know it's working.

None of the fixes need new software. Every one works with a clipboard and a notebook. Where a tool makes it easier, we point out how XSite Auto handles it, but the habit always comes first.

About the numbers

The examples use round numbers, like a $labour rate of $120 an hour and an average repair order of $350, to show the math. They're examples, not industry averages. The worksheet at the end lets you put in your own numbers.

Quick check: which ones sound familiar?

Tick each one you recognize. Three or more is normal for a busy small shop, and it's also where the easiest money is.

- ☐ **1.** Missed calls
- ☐ **2.** Labour that never makes it onto the invoice
- ☐ **3.** Free diagnosis
- ☐ **4.** Jobs stuck waiting for approval
- ☐ **5.** Parts priced on the fly
- ☐ **6.** Comebacks
- ☐ **7.** Balances that slip through the cracks
- ☐ **8.** A cash drawer that never quite adds up
- ☐ **9.** Empty hours one day, overbooked the next
- ☐ **10.** Recommended work that never comes back

Written alongside a working independent repair shop in Niagara, Ontario, run by a former Toyota master technician.

LEAK 1 OF 10

Missed calls

The phone rings while you're under a car. A new customer usually won't leave a message. They call the next shop on the list, and the job, plus every job that customer would have brought you over the years, goes with them.

WHAT IT LOOKS LIKE

- The phone rings out several times a day, and nobody knows how many calls were missed.
- Voicemail fills up, or callers hang up before it picks up.
- Calls get returned at the end of the day, after the customer has already booked elsewhere.

WHY IT HAPPENS

- The owner is also the best technician, so the phone loses to the car on the hoist.
- There's one line and no plan for who answers it at the busiest times.
- The only way to book is to call during business hours.

WHAT IT CAN COST: AN EXAMPLE

Say you miss five calls a week from new customers, and half of them would have booked. With an average repair order of $350:

2.5 jobs × $350 = $875 a week

That's about $45,000 a year, before counting any repeat visits.

THE FIX

1. Log every call you couldn't answer for one week: time of day, and whether you called back. Most owners are surprised by the number.
2. Decide who answers the phone at each time of day, especially first thing in the morning, at lunch and at pickup time.
3. Return every missed call within 15 minutes, and change your voicemail to give your booking link and say when you'll call back.
4. Give customers a way to book without calling at all, on your website and your Google listing.

> *"You've reached [shop]. We're with a customer right now. You can book online any time at [web address], or leave your name and number and we'll call you back within 15 minutes."*

TRACK THIS

Missed calls a week

and the share returned within 15 minutes.

In XSite Auto: Customers book from your website, Google listing or a QR code at any hour, and each request lands on your schedule.

LEAK 2 OF 10

Labour that never makes it onto the invoice

"While it's in" work adds up: topping up fluids, re-seating a connector, a second look at a noise, a quick adjustment. Each one takes a few minutes. Across a week it can be hours of a technician's time given away without anyone deciding to give it away.

WHAT IT LOOKS LIKE

- Technicians are busy all day, but billed hours don't match the hours they worked.
- Repair orders list the main job and nothing else.
- Small extras are "no charge" by habit, not by choice.

WHY IT HAPPENS

- There's no easy place to write down small tasks.
- Technicians aren't sure what's billable, so they don't mention it.
- Nobody compares hours worked with hours billed.

WHAT IT CAN COST: AN EXAMPLE

Say each of three technicians does 20 minutes a day of work that never gets billed, and your labour rate is $120 an hour:

1 hour a day × $120 × 5 days = $600 a week

That's about $31,000 a year.

THE FIX

1. Write every task on the repair order, even when you decide to charge nothing. A "no charge" line shows the customer the value you're giving.
2. Set simple minimums, such as a minimum labour charge for any task, and make sure every technician knows them.
3. At close, read through the day's repair orders and ask the technicians what they did that isn't written down.
4. Once a week, compare hours billed with hours worked for each technician.

TRACK THIS

Hours billed ÷ hours worked

for each technician, every week.

In XSite Auto: Repair orders carry labour lines for every task, and the Today screen shows the labour hours billed this week.

LEAK 3 OF 10

Free diagnosis

Diagnosis is some of the most skilled work in your shop. When it's free, customers shop your findings around, and the shop down the street does the repair using your work.

WHAT IT LOOKS LIKE

- "Can you just take a quick look?" turns into an hour on the scan tool.
- Customers leave with a quote and don't come back.
- Technicians dread intermittent problems because they know the time won't be paid.

WHY IT HAPPENS

- It feels awkward to charge for looking.
- The fee isn't posted or mentioned on the phone, so charging it later causes an argument.
- Diagnosis runs on with no point where someone decides whether to keep going.

WHAT IT CAN COST: AN EXAMPLE

Say you do six diagnostic jobs a week that take about an hour each, and charge nothing for them, at a $120 labour rate:

6 hours × $120 = $720 a week

That's about $37,000 a year in skilled time.

THE FIX

1. Post your diagnostic fee at the counter and on your website, and say it on the phone before the car comes in.
2. Credit the fee toward the repair if the customer goes ahead. Most customers see that as fair.
3. Time-box diagnosis. If it isn't found within the first block of time, call the customer before continuing.
4. Explain what you found with a photo or a short note, so the customer sees what they paid for.

> *"Our diagnostic fee is [amount], which covers up to [time] of testing. If you go ahead with the repair, we put that toward it."*

TRACK THIS

Diagnostic hours billed ÷ diagnostic hours done,
and how many diagnoses turn into approved repairs.

LEAK 4 OF 10

Jobs stuck waiting for approval

A car sits on a hoist while the service writer plays phone tag with its owner. The bay is blocked, the technician is waiting for the next job, and the whole day slides back.

WHAT IT LOOKS LIKE

- Cars sit for hours, or overnight, with a quote ready and no answer.
- The technician starts another job, then has to switch back.
- Nobody remembers exactly what the customer approved, or when.

WHY IT HAPPENS

- Customers aren't asked at drop-off how to reach them or what they're happy to approve.
- Quotes go out as voicemails, which are easy to ignore.
- Chasing approvals is everybody's job, so it's nobody's.

WHAT IT CAN COST: AN EXAMPLE

Say a car waits two hours on a hoist for an answer twice a week, and that bay could otherwise be billing at $120 an hour:

4 hours × $120 = $480 a week of capacity

That's about $25,000 a year, plus the cars that end up staying an extra day.

THE FIX

1. At check-in, ask every customer how they want to be reached and how much you can go ahead on without calling.
2. Send quotes in writing, by text or email, with a photo where it helps, then call.
3. Make one person responsible for approvals, and have them check every waiting car at least twice a day.
4. If a car will wait more than an hour, move it off the hoist so the bay keeps earning.
5. Write down who approved, what amount and when. It ends arguments at pickup.

TRACK THIS

Cars waiting more than four hours

for an approval, counted each day.

> **In XSite Auto:** The shop board has its own "waiting on approval" column and flags cars that have been waiting more than a day.

LEAK 5 OF 10

Parts priced on the fly

When parts are priced at the counter by feel, the markup drifts. Some parts go out at cost, returns never get credited, and cores sit in the corner instead of going back for their refund.

WHAT IT LOOKS LIKE

- Two customers pay different prices for the same part.
- Supplier invoices don't match the parts on repair orders.
- There's a pile of returns and cores with no record of what's owed.

WHY IT HAPPENS

- There's no written pricing guide, so each person uses their own rule.
- Busy days mean nobody checks supplier statements against jobs.
- Returns and cores aren't anyone's responsibility.

WHAT IT CAN COST: AN EXAMPLE

Say you buy $8,000 of parts a month at cost. Your target markup is 60%, but by the time discounts and on-the-fly pricing are counted, you actually average 40%:

20% × $8,000 = $1,600 a month

That's about $19,000 a year, before counting a single lost return or core.

THE FIX

1. Write a simple pricing guide by cost range. Many shops use a lower markup on expensive parts and a higher one on inexpensive parts.
2. Price every part from the guide, not by feel. Discounts are a decision, not a habit.
3. Once a week, match supplier invoices against repair orders. Every part bought should be on a job or on the return shelf.
4. Keep a returns and cores log with the date, the part and the credit you're owed, and check it against your supplier statement each month.

TRACK THIS

Parts gross margin

each month, and the dollar value of open returns and cores.

LEAK 6 OF 10

Comebacks

A comeback costs twice: the free labour to fix it, and the bay it takes from a paying job. It also costs something harder to win back, the customer's trust.

WHAT IT LOOKS LIKE

- The same kind of job keeps coming back.
- Customers return for the same concern a week later.
- Nobody tracks comebacks, so the cause is never found.

WHY IT HAPPENS

- There's no final check before the car goes back to the customer.
- The concern was misunderstood at the counter, so the wrong thing got fixed.
- Low-quality parts were used to hit a price.

WHAT IT CAN COST: AN EXAMPLE

Say you have two comebacks a month, each taking two hours of free labour at $120 an hour and $100 in parts:

2 × ($240 + $100) = $680 a month

That's about $8,000 a year, plus the bay time and the reviews you didn't get.

THE FIX

1. Use a short final check and road-test list on every job, signed by the technician.
2. Have a second person check brakes, steering and wheels on every job that touched them.
3. Repeat the concern back to the customer at check-in, in their words, so you fix what they actually noticed.
4. Log every comeback with its cause: diagnosis, part, workmanship or communication. Look at the log once a month.

TRACK THIS

Comebacks per 100 repair orders,
with the cause of each one.

In XSite Auto: Every visit for every vehicle is on the customer's record, so a return visit for the same concern is easy to spot.

LEAK 7 OF 10

Balances that slip through the cracks

"I'll pay you Friday." A regular, a fleet account, a friend of the family. Without one list in one place, small balances get forgotten, and some are never collected at all.

WHAT IT LOOKS LIKE

- You're not sure, right now, who owes you money or how much.
- Account customers pay whenever they get around to it.
- A balance is discovered months later, when it's awkward to ask.

WHY IT HAPPENS

- Keys go back before payment because it's busy and the customer is a regular.
- There's no written arrangement for account customers.
- Nobody has the job of following up.

WHAT IT CAN COST: AN EXAMPLE

Say ten customers owe you an average of $180 at any time, and one in five of those balances is never paid:

$1,800 owed, $360 written off

every time the list turns over, plus the cash you're not able to use while you wait.

THE FIX

1. Post a simple payment policy at the counter: payment is due when the car is picked up.
2. No keys without payment unless it goes on an account with written terms and a limit.
3. Keep one list of everyone who owes you, and look at it every Monday.
4. Follow a set schedule: a reminder at 7 days, a call and a statement at 30, and a decision at 60.
5. Make paying easy: take card payments over the phone and send the amount by text or email.

TRACK THIS

Total owed, and the age of the oldest balance,
checked every Monday.

> **In XSite Auto:** Money owing to you is on the Today screen and on every customer's record, so nothing is forgotten.

LEAK 8 OF 10

A cash drawer that never quite adds up

When the drawer is a few dollars off most nights, nobody can tell whether it's a counting error or a real problem, and the books get quietly adjusted to match.

WHAT IT LOOKS LIKE

- The count is "close enough" most days.
- Different people work the drawer during the day.
- Money taken out for parts or lunch isn't written down.

WHY IT HAPPENS

- There's no fixed float and no set time for counting.
- Payments aren't totalled by type, so cash can't be checked against what was recorded.
- Over and short amounts get fixed instead of recorded.

WHAT IT CAN COST: AN EXAMPLE

Say the drawer is $10 short three nights a week, from honest mistakes:

$30 a week

That's about $1,560 a year, and it hides the problem if it ever stops being honest mistakes.

THE FIX

1. Start every day with the same float, and count at the same time every day.
2. Total the day's payments by type (cash, debit, credit, e-transfer and cheque) and compare cash with what was recorded.
3. Record any money taken out of the drawer, with a receipt, at the time it's taken.
4. Write down the over or short amount instead of adjusting it. Patterns show up within a month.
5. Make one person responsible for the drawer on each shift.

TRACK THIS

Over or short,
every day, written down and reviewed weekly.

> **In XSite Auto:** Daily totals by payment type, money paid out of the drawer, a count at close that shows over or short, and an export for QuickBooks.

LEAK 9 OF 10

Empty hours one day, overbooked the next

Booking by time slot alone ignores how long the work actually takes and who's on shift. The result is technicians standing around on Tuesday and customers waiting on Thursday.

WHAT IT LOOKS LIKE

- Some days are frantic and others are quiet, with no obvious reason.
- Big jobs get booked on days when the technician who does them is away.
- Walk-ins get turned away on busy days and aren't there on slow ones.

WHY IT HAPPENS

- Bookings are counted in appointments, not hours.
- Nobody knows how many hours each technician has available each day.
- There's no plan for filling a gap when a job cancels.

WHAT IT CAN COST: AN EXAMPLE

Say three technicians work 40 hours each, 120 hours a week, and you sell 90 of them. At $120 an hour:

30 hours × $120 = $3,600 a week of capacity

Not every hour can be sold, but even a third of that gap is about $62,000 a year.

THE FIX

1. Know each technician's available hours for each day, including days off.
2. Book against hours, not slots. A two-hour job takes two hours of someone's day.
3. Keep a little room each day for walk-ins and diagnosis that turns into work.
4. When a gap opens, fill it from your list of declined work (see leak 10) or from customers who asked for an earlier time.

TRACK THIS **Hours sold ÷ hours available,** for each day of the week.

In XSite Auto: The day schedule shows hours booked against hours available for each technician, one column each.

LEAK 10 OF 10

Recommended work that never comes back

Every shop recommends work the customer declines today: brakes getting thin, a weeping gasket, tires that won't make it through winter. Most shops never follow up, so that work goes to whoever the customer calls next.

WHAT IT LOOKS LIKE

- Recommendations are made out loud and never written down.
- Customers come back months later with the same problem, now worse and more expensive.
- Slow days have nothing to fill them.

WHY IT HAPPENS

- Declined work isn't recorded with a price.
- Following up feels like pushing.
- There's no list and no schedule for calling.

WHAT IT CAN COST: AN EXAMPLE

Say customers decline $1,500 of recommended work a week, and you bring back just one dollar in four by following up:

$375 a week

That's about $19,500 a year, from customers who already trust you.

THE FIX

1. Write every recommendation on the repair order with a price and how urgent it is: now, soon, or can wait.
2. Give the customer the list in writing at pickup.
3. Follow up in two to four weeks, again at the next visit, and before the season it matters, such as winter.
4. Use the list to fill quiet days. It's the warmest call list you have.

> *"Last time you were in, we noticed your rear brakes were getting thin. We have an opening Thursday morning if you'd like to get them done before winter."*

TRACK THIS

Declined work recorded, and work won back,
in dollars, each month.

WORKSHEET

Estimate your own leaks

Use the examples as a guide and put in your own numbers. Be conservative. Even the low estimate is usually a surprise.

LEAK	YOUR ESTIMATE A WEEK	× 52 = A YEAR
1. Missed calls		
2. Labour that never makes it onto the invoice		
3. Free diagnosis		
4. Jobs stuck waiting for approval		
5. Parts priced on the fly		
6. Comebacks		
7. Balances that slip through the cracks		
8. A cash drawer that never quite adds up		
9. Empty hours one day, overbooked the next		
10. Recommended work that never comes back		
Total		

Where to start

- **Start with the fastest wins.** The cash drawer (8), balances (7) and missed calls (1) can each be fixed this week with no cost.
- **Then the biggest number.** Look at your worksheet and pick the largest leak for the following week.
- **One at a time.** A new habit takes a few weeks to stick. Add the next fix once the last one runs on its own.

WORKSHEET

Your weekly leak tracker

Each fix has one number to watch. Fill it in every week for a month and you'll see which habits are working.

WHAT TO TRACK	WEEK 1	WEEK 2	WEEK 3	WEEK 4
Missed calls a week				
Hours billed ÷ hours worked				
Diagnostic hours billed ÷ diagnostic hours done				
Cars waiting more than four hours				
Parts gross margin				
Comebacks per 100 repair orders				
Total owed, and the age of the oldest balance				
Over or short				
Hours sold ÷ hours available				
Declined work recorded, and work won back				

Tip: print this page and keep it on a clipboard by the counter. Five minutes every Monday is enough.

Plug the leaks without the paperwork

XSite Auto puts online booking, the shop board, technician schedules, repair orders, balances owing and the cash drawer in one place, built for shops with ten technicians or fewer. Bring your customers over from QuickBooks in minutes.

$139 CAD a month, plus tax after a free 14-day trial, with no credit card needed and no contract. Done-for-you setup is optional ($695 CAD, one time).

Start a free trial | **Book a 15-minute demo**

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